The Week Ahead

Forecasts, data preview, central bank watch

July 24, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- MAS to leave policy unchanged
- BoJ to maintain pause
- A series of June trade and production data to showcase regional momentum

Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com

Chang Wei Liang, FX & Credit Strategist
weiliangchang@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Jul 27 (Mon)		
Singapore: MAS MPS	No change	Tightening
Singapore: Industrial production (Jun)	10.2% y/y	13.0% y/y
Hong Kong: exports (Jun)	46.8% y/y	40.8% y/y
- imports	47.4% y/y	42.0% y/y
- trade balance	-HKD89.2bn	-HKD44.2bn
Jul 28 (Tue)		
India: industrial production (Jun)	5.7% y/y	5.1% y/y
July 30 (Thu)		
US: FOMC rate decision	3.75%	3.75%
Philippines: exports (Jun)	10% y/y	7.6% y/y
- imports	14% y/y	21.9% y/y
- trade balance	-USD5.3bn	-USD5.4bn
Eurozone: GDP (2Q)	0.3% q/q	-0.2% q/q
Jul 31 (Fri)		
S Korea: industrial production (Jun)	0.5% y/y	-0.9% y/y
Japan: industrial production (Jun)	1.6% y/y	-2.1% y/y
Taiwan: GDP (2Q)	10.3% y/y	14.6% y/y
Eurozone: CPI (Jul)	2.7% y/y	2.8% y/y
Japan: BOJ target rate	1.00%	1.00%
Aug 1 (Sat)		
South Korea: exports (Jul)	66.6% y/y	70.9% y/y
- imports	28.0% y/y	30.1% y/y
- trade balance	USD31.8bn	USD36.0bn

CENTRAL BANK MEETINGS

Monetary Authority of Singapore (MAS) (July 27)

We expect MAS to leave its SGD NEER policy unchanged at its July review next week, taking a pause after April's tightening. That decision to increase the SGD NEER policy band's slope puts policy in a good position to address the Iran war-related energy price increase. We see no urgency to follow up with a tightening, as Singapore's inflation remained low relative to the official inflation forecast range, and global oil prices have eased from their peak although with upside volatility. While the MAS will remain vigilant on upside price pressures, and leave the door open for further tightening, we expect it to maintain its 2026 inflation forecasts at 1.5-2.5%. The MAS will likely assess a larger positive output gap for 2026, but the capital-intensive nature of the economic expansion contains spillovers to domestic inflation, and the Middle East uncertainty still poses downside growth risks.

Bank of Japan (31 July)

The BOJ is expected to keep the policy rate unchanged at 1.00% after delivering a 25bp rate hike at its June meeting. Market attention will focus on the updated economic projections and Governor Ueda's press conference for further clues on the policy outlook.

At its April meeting, the BOJ revised down its FY2026 GDP growth forecast to 0.5% while raising its FY2026 core CPI forecast to 2.8%, reflecting heightened uncertainty stemming from Middle East tensions. The macroeconomic backdrop has since improved. Economic growth has held up better than expected, supported by stronger semiconductor exports driven by the AI boom and robust wage growth that continues to underpin private consumption. Inflation has also evolved more favorably than anticipated, aided by government measures such as energy subsidies and the release of petroleum reserves.

Governor Ueda is likely to signal further monetary policy normalization within this year, emphasizing the resilience of wage growth and underlying inflation momentum. Recent reports suggest that the BOJ may be open to raising rates at a faster pace than currently anticipated by markets, which are pricing in a roughly once-every-six-months pace. This raises the possibility that the next rate hike could come as early as October.

FORTHCOMING DATA RELEASES

Hong Kong

Exports growth is expected to remain robust at 46.8% yoy in June, supported by continued strength in external demand. China's export growth accelerated from 19.4% yoy in May to 27% in June, driven by easing geopolitical disruptions following the Middle East ceasefire and stronger demand for AI-related electronics. Import growth is also expected to stay firm, reflecting sustained demand for intermediate and capital goods in line with resilient export orders and a gradual improvement in investment sentiment.

Singapore

We expect Singapore's industrial production (IP) growth to remain robust in June 2026, albeit moderating to 10.2% yoy from 13.0% yoy in May. The electronics cluster likely remained the primary growth driver, supported by global artificial intelligence-related tailwinds, although supply constraints prevented output growth from keeping pace with strong demand. The precision engineering cluster was also likely supportive. However, performance across manufacturing clusters remained uneven, with chemical output continuing to decline due to ongoing feedstock disruptions stemming from the flare-up in Middle East tensions, alongside weak performance in the biomedical manufacturing cluster.

South Korea

July trade data are forthcoming. Based on preliminary data for the first 20 days of the month, export growth is expected to remain strong at 67%yoy, only slightly below 70.7% in June. Higher memory chip prices, together with robust AI-driven demand, should continue to be the key drivers.

The current semiconductor super-cycle is likely approaching its peak. According to the WSTS, global semiconductor sales are projected to increase by 89.9%yoy this year before moderating to 26.6% in 2027. Memory chips are expected to remain the most volatile segment, with sales surging 249.5% this year and slowing to 32.1% next year.

Taiwan

The preliminary estimate of 2Q GDP is due for release. Economic growth is expected to moderate to 10.3% yoy from the 1Q peak of 14.5%. Export growth, measured in real terms, slowed to 24.6% yoy in 2Q from 40.9% in 1Q, reflecting moderating ICT demand, particularly from the US. Services exports, proxied by inbound tourist arrivals, also softened during the quarter amid higher international airfares driven by Middle East tensions and elevated energy prices.

On the domestic side, private consumption appears to have strengthened, supported by positive wealth effects from the stock market, a stabilizing property market, and resilient labor market conditions.

Eurozone

Eurozone GDP growth numbers for the second quarter are likely to point to an improvement, owing to the pickup in the PMI surveys, a tight labour market, and pickup in few catalysts in the core countries, especially in Germany and France. This included better momentum in industrial activity, services and construction/ real estate in France, which lifted output out of contractionary terrain and into a mild expansion. Pullback in the July inflation numbers is likely to be short-lived. The ECB is expected act on rates in September owing to pipeline inflationary concerns following a re-escalation in the Middle East tensions.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21   ** new CPI series   *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS
Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/S Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS
The Week Ahead

Forecasts, data preview, central bank watch

July 17, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- Indonesia is expected to raise its policy rate by 25bps to 6.0%.
- South Korea's GDP growth will likely ease to 3.6% from 3.8% in Q1.
- CPI is projected to rise in Hong Kong, Japan and Singapore.

Taimur Baig PhD,
Chief Economist
taimurbaig@dbs.com

Nathan Chow, Senior Economist
nathanchow@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Jul 20 (Mon)		
China: 1Y loan prime rate	3.00%	3.00%
Malaysia: exports (Jun)	38.5% y/y	45.3% y/y
- imports	12.5% y/y	14.1% y/y
- trade balance	MYR41.0bn	MYR40.4bn
Jul 21 (Tue)		
Hong Kong: CPI (Jun)	2.2% y/y	2.0% y/y
Jul 22 (Wed)		
Indonesia: BI rate	6.0%	5.75%
Japan: exports (Jun)	17.7% y/y	17.0% y/y
- imports	15.3% y/y	12.5% y/y
- trade balance	JPY364.8bn	-JPY378.6bn
July 23 (Thu)		
Eurozone: ECB deposit facility rate	2.25%	2.25%
Taiwan: industrial production (Jun)	17.3% y/y	11.8% y/y
South Korea: GDP (2Q A)	3.6% y/y	3.8% y/y
Singapore: CPI (Jun)	2.0% y/y	1.8% y/y
July 24 (Fri)		
Japan: CPI (Jun)	1.7% y/y	1.5% y/y

CENTRAL BANK MEETINGS

People Bank of China (20 July)

We expect the PBOC to keep the 1Y LPR unchanged next week, as China's 1H GDP growth remains broadly in line with the government's 2026 target range of 4.5%–5.0%. While retail sales, fixed asset investment, and credit growth remained soft in June, resilient exports and stable industrial production continue to underpin overall growth. Export momentum strengthened further, supported by robust AI-related electronics demand and improving US-China trade sentiment, reducing the need for broad-based monetary easing.

At the same time, higher energy and commodity prices have lifted producer prices, limiting the scope for further rate cuts. Against this backdrop, policymakers are likely to maintain a more measured monetary policy stance while relying on targeted fiscal support, including the proposed AI infrastructure programme, to sustain growth. Additional measures to boost household consumption are also expected, in line with the government's target of raising annual retail sales to RMB60tn by 2030.

Bank Indonesia (22 July)

Bank Indonesia meets this week to decide on rates against the backdrop of a renewed escalation in West Asia tensions. We expect the policy rate to be raised by 25bp to 6.0%, which would likely mark the final hike of this cycle, as the central bank seeks to support the currency and reinforce its commitment to financial stability. Brent crude prices have rebounded by around 20% from their early July lows, weighing on risk sentiment and pushing USD/IDR back above 18,000. The rupiah continues to rank among the region's underperforming currencies. In addition to the cumulative 100bp rate increase delivered in May and June, Bank Indonesia has deployed a range of complementary measures, including maintaining attractive yield differentials through SRBIs and tightening FX purchase regulations to curb speculative activity. Beyond this week's expected hike, we anticipate BI will keep rates unchanged, with the next policy catalyst likely to come from developments in US monetary policy. Our house view is that the Federal Reserve will remain vigilant on inflation risks while keeping rates on hold, supported by contained core/ underlying price pressures.

European Central Bank (23 July)

The European Central Bank (ECB) is expected to leave the deposit facility rate unchanged in July at 2.25%. June inflation eased on a pullback in global prices, with core measures and oil futues pointing to limited spillover effects from the recent rebound in geopolitical tensions. ECB Chief Lagarde and the Governing Council are, nonetheless, likely to signal that they retain the flexibility to act if required, in essence leaving the door open to tighten rates in 3Q26. We retain our view for a 25bp hike this quarter, subject to the inflationary impact from global developments, while high frequency data signal moderation in momentum.

FORTHCOMING DATA RELEASES

Japan

June trade and inflation data are due for release. Exports are expected to maintain robust growth of nearly 18% yoy for a second consecutive month. The global AI boom continues to support Japan's manufacturing sector, particularly producers of semiconductor equipment, semiconductor materials, power semiconductors, and NAND flash memory.

CPI inflation is expected to edge up to 1.7% yoy in June from 1.5% in May. Tokyo CPI, released earlier, already pointed to firmer inflation, partly reflecting higher water utility charges following the expiration of temporary government subsidies and fee waivers.

The Bank of Japan's primary focus remains on wage-driven underlying inflation. With base wage growth holding steady at around 3% yoy for five consecutive months, the BOJ should become increasingly confident that underlying inflation is moving sustainably toward its 2% target. We continue to expect a gradual normalization path, with the policy rate rising further from 1.00% to 1.25% by 4Q26 and 1.50% by 2Q27.

South Korea

The preliminary estimate for 2Q GDP is forthcoming. On a qoq annualized basis, growth is expected to come in at 2.0%, moderating from the 7.5% surge in 1Q. On a yoy basis, growth is expected to reach 3.6%, compared with 3.8% in 1Q. Real exports maintained steady growth of around 20% yoy in 2Q, while machinery investment also continued to expand at a stable pace. Consumption indicators, however, moderated as higher energy prices and inflation weighed on household real incomes. On the supply side, services output maintained steady growth in 2Q, while construction output saw a narrowing contraction, supported by a rebound in the residential property market. Industrial production, however, slowed during the quarter.

Overall, the 2Q real GDP data may provide less optimism than the strength reflected in equity markets. The ongoing AI boom has supported South Korea's nominal GDP growth more significantly than real GDP growth, driven by surging memory chip prices, higher overall export prices, and stronger corporate earnings.

Taiwan

June export orders and industrial production data are forthcoming. Export orders are projected to grow by 45% yoy in June, driven partly by strong global AI demand and partly by the continued rise in semiconductor prices. Industrial production, measured in real terms, is expected to grow by 17% yoy in June. By sector, ICT is likely to remain the key growth driver. Among traditional industries, the machinery sector has shown a notable pickup and is expected to sustain its momentum, while other sectors such as chemicals and textiles are likely to remain weak. Overall, growth remains robust, but the momentum appears to be near its peak; the K-shaped divergence between the tech and non-tech sectors continues to persist.

Hong Kong SAR

Headline CPI is expected to edge up from 2.0% yoy in May to 2.2% in June, driven mainly by the pass-through of higher electricity, gas and transport costs following the Middle East conflict. Underlying inflation is expected to remain stable at around 2.0% yoy, supported by improving consumption sentiment. Prices for services, durable goods, and clothing & footwear are likely to continue trending higher, underpinned by a 9.2% yoy increase in mainland visitor arrivals and a slower pace of resident departures during the month.

Malaysia

We expect Malaysia's goods exports to grow by a strong 38.5% yoy in June 2026, although moderating from 45.3% yoy in May. Exports momentum remained firm, supported by electrical & electronics shipments, which continued to benefit from robust global demand related to artificial intelligence. However, the boost from energy shipments likely eased in June compared with the previous two months, as oil & gas prices retreated due to a reduction in the geopolitical risk premium.

Singapore

We expect Singapore's headline inflation to edge up to 2.0% yoy in June, from 1.8% yoy in

May, with core inflation ticking up to 1.5% yoy from 1.4%. The modest increase was likely driven by faster food inflation, and the continued pass-through of energy costs to non-private transport costs. Private transport inflation also faced upward pressure from larger increases in car and motorcycle prices, although this was partly offset by lower petrol prices. Nevertheless, contained services and accommodation inflation kept both headline and core inflation broadly in check.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	4.7	4.2	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	2.6	2.0	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1470	1485	1500	1515	1530	1545
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO Senior
Economist Asean/EU/
South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

Singapore: Firm growth despite geopolitical turbulence

14 July 2026

Chua Han Teng, CFA
Senior Economist
hantengchua@dbs.com

- *Advance real GDP growth in 2Q26 stayed well above trend at 5.7% yoy and 1.1% qoq sa.*
- *Strong AI-driven trade-related growth, which outweighed energy headwinds, should sustain in 2H26.*
- *Modern services will remain a key anchor, with notable resilience in financial services, alongside construction tailwinds.*
- *While we expect overall resilience, we continue to monitor downside global uncertainties arising from developments in the Middle East.*
- ***Forecast implications:** We maintain our 2026 real GDP growth forecast at 4.3%.*

Robust growth in 2Q26

Singapore's economy remained resilient in 2Q26 despite the shock stemming from tensions in the Middle East. Advance estimates showed real GDP growing well above trend at 5.7% yoy and 1.1% qoq sa in 2Q26, compared with the upwardly revised 6.3% yoy and 1.3% qoq sa in 1Q26. This translated to strong expansion of 6.0% yoy in the first half of this year, and **we expect positive carryover effects in 2H26.**

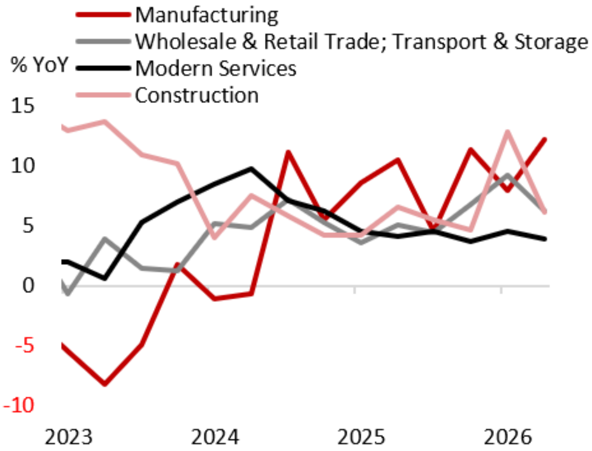
We maintain our 2026 real GDP growth forecast at 4.3%. We expect the positive trends observed in 2Q26 - robust trade-related performance, resilient modern services expansion, and sustained tailwinds from domestic construction - to continue in the next few quarters, although the overall GDP cycle is likely to moderate from its blistering pace, partly due to high base effects. Singapore's economy should remain resilient, although we continue to monitor downside uncertainties posed by a fragile US-Iran truce and a shaky interim peace deal, considering renewed strikes in recent days. A renewed complete blockage of the Strait of Hormuz, coupled with prolonged elevated global energy prices, would pose a material threat to both global and Singapore's growth prospects.

Real GDP growth by sectors

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26*
% YoY							
Overall GDP	4.5	5.4	4.5	5.7	5.0	6.3	5.7
Manufacturing	8.6	10.5	4.6	11.4	8.7	8.0	12.2
Construction	4.2	6.6	5.6	4.6	5.2	12.9	6.2
Services	3.5	4.5	4.3	4.8	4.3	6.2	4.6
% QoQ sa							
Overall GDP	0.6	1.8	1.9	1.3	5.0	1.3	1.1
Manufacturing	0.6	1.2	4.5	4.5	8.7	-2.2	5.3
Construction	-0.8	4.8	0.6	0.2	5.2	7.4	-2.1
Services	0.7	1.9	1.2	1.0	4.3	2.0	0.3

Source: MTI, CEIC, DBS. *:advance estimate

All-round resilient performance in 2Q26, despite moderation in some segments



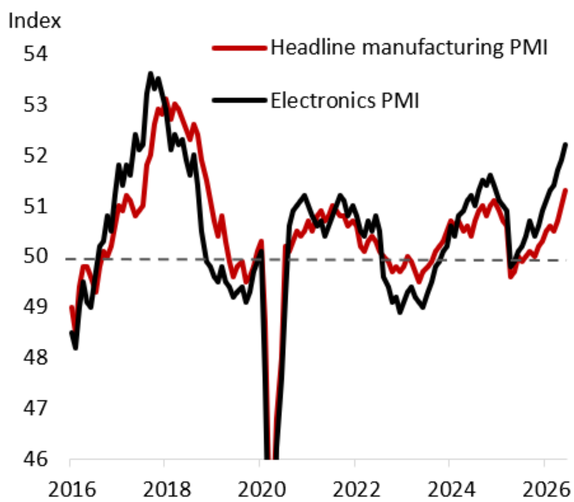
Source: CEIC, DBS
Note: Latest data is Jun-26 based on advance estimate

Stellar trade-related performance

Singapore's solid overall economic growth in 2Q26 was driven primarily by strong trade-related activity, supported by ongoing global artificial intelligence (AI) tailwinds, a trend that we expect to sustain in 2H26. Manufacturing growth accelerated to 12.2% yoy in 2Q26, marking the fastest expansion since 4Q21. The electronics and precision engineering clusters were the primary drivers of factory growth, outweighing contractions in chemicals and biomedical manufacturing, with the former bearing the brunt of feedstock shortages resulting from disruptions in the Strait of Hormuz. 'Wholesale & retail trade and transportation & storage' expanded by 6.3% yoy in 2Q26, easing from 9.3% yoy in 1Q26, but still exceeding the quarterly average growth in 2024 and 2025, supported by continued momentum in regional electronics trade.

The forward-looking manufacturing purchasing managers' index (PMI) for June 2026 points to a positive outlook for the manufacturing sector in the coming months, although performance is likely to remain uneven across clusters. Factory growth will continue to be led primarily by the strong performance of the electronics cluster amid robust global demand for AI-related products, such as memory chips and server-related products, as hyperscalers ramp up their AI infrastructure. Supportive momentum continued to be evident across several electronics sub-indices, including new export orders, orders backlogs, input purchases, and imports. Strength in regional electronics trade should also continue to generate positive spillover effects for Singapore's wholesale trade sector. Meanwhile, any recovery and rebound in energy-related segments will be gradual. given the ebb and flow of evolving US-Iran developments. Shipping confidence and the flow of critical input supplies transiting through the Strait of Hormuz, including oil & gas, will only gradually normalise to pre-war levels, even if recent escalation eases.

Strong electronics manufacturing sentiment

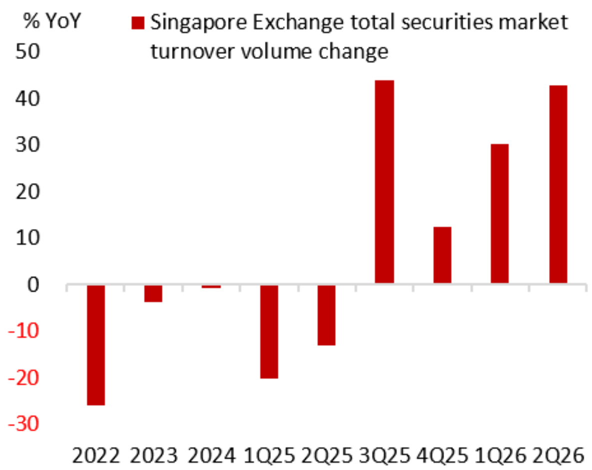


Source: CEIC, DBS

Resilient modern services and construction

The modern services cluster (comprising finance & insurance, information & communications, and professional services) grew by 3.9% yoy in 2Q26, extending the expansion of 4.5% yoy in 1Q26, providing a resilient anchor for Singapore's economy. Gains were broad-based across the group, and we continue to expect resilience in the financial services segment. Notably, financial services have benefitted from the backdrop of accommodative financial conditions over the past few quarters. Growth should remain supported by increasingly vibrant capital market activity backed by rising momentum in securities trading volumes, and a recovery in initial public equity offerings amid ongoing reforms, while financial market volatility creates opportunities for investors.

Equities market sees rising momentum



Source: SGX, MTI, DBS

The domestic construction sector grew by 6.2% yoy in 2Q26, moderating from an exceptional 12.9% yoy in 1Q26, but remained above the 5.3% yoy quarterly average between 2024 and 2025. Building activity was supported by both public and private sectors. We expect the ongoing multi-year boom, underpinned by sustained construction demand amid a steady pipeline of investments across transport, hospitality, and housing, to support growth in the coming quarters, notwithstanding ongoing challenges from higher construction input costs.

DBS
Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn Chew
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn Teo
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the “Company”). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen’s Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen’s Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of ‘financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS Focus

Taiwan: AI cycle and 2H outlook

13 July 2026

Ma Tieying, CFA
Senior Economist
matieying@dbs.com

- *AI remains the central theme shaping the 2H26 economic outlook, particularly for technology-oriented economies such as Taiwan.*
- *The AI outlook is balanced between strong structural optimism and rising cyclical caution.*
- *Our monitoring indicators suggest that the AI supercycle is approaching a peak*
- *Notably, the semiconductor industry's current robust growth is being driven primarily by higher chip prices rather than stronger shipment volumes.*
- *Taiwan is expected to maintain above-trend growth through 3Q26, before economic growth begins to normalize from 4Q26 onward.*
- *Inflation is likely to remain sticky, reflecting delayed cost pass-through and recovering domestic demand.*
- ***Forecast implications:** We maintain our 2026 GDP growth forecast at 9.4% and adjust our 2027 forecast to 4.5%.*
- *We also revise up our CPI inflation forecasts to 2.0% for 2026 and 2.1% for 2027.*

Global backdrop

The global economy recorded steady growth with only a moderate increase in inflation during the first half of 2026. Although tensions in the Middle East triggered an energy shock, its impact was largely offset by the AI supercycle, which continued to support global trade, business investment, and household wealth.

Looking ahead to the second half of 2026, global growth is expected to moderate while inflation remains elevated. The AI supercycle appears to be approaching its peak, while the lingering effects of the earlier energy shock are likely to continue constraining growth and keeping inflationary pressures elevated.

Evidence suggests that the AI supercycle is entering a more mature phase. Recent developments indicate that growth in the semiconductor industry is increasingly being driven by higher chip prices rather than expanding shipment volumes. At the same time, the AI boom is contributing to inflationary pressures through several channels. Rising chip prices have increased production costs for consumer electronics, while substantial bonus increases announced by major semiconductor firms have raised concerns that stronger wage demands could spread to other industries, lifting inflation expectations. Meanwhile, the continued rally in global technology equities has boosted household wealth and consumer spending, reinforcing demand-driven inflationary pressures.

The effects of tensions in the Middle East are also expected to persist. Although oil prices have eased following the US-Iran ceasefire agreement in June, uncertainty remains over its implementation, particularly amid renewed conflict in recent days. Even if peace is maintained, energy logistics and supply chains are likely to require several months to fully normalise. Moreover, earlier increases in upstream energy and raw material costs have yet to be fully passed through to downstream prices, suggesting that additional inflationary pressures could still emerge in the coming months.

Trade policy remains another key source of risk to the global growth and inflation outlook. The US is expected to introduce a new package of Section 301 tariffs after the temporary Section 122 measures expire on 24 July. The proposed package is expected to include a forced-labour-related Section 301 tariff of 10–12.5%, covering approximately 60 economies, alongside an overcapacity-related Section 301 action affecting 16 economies, with differentiated tariff rates still under discussion. While the forced-labour-related measures are expected to largely replace the expiring Section 122 surcharge, the overcapacity-related measures could have more significant sectoral implications, particularly for steel, batteries, solar products, semiconductors, and automobiles. These tariffs could further disrupt supply chains, dampen trade, and add to inflationary pressures.

AI cycle

AI remains the central theme shaping the 2H26 economic outlook, particularly for technology-oriented economies such as Taiwan.

Structural optimism remains intact. **Current AI technology is still likely to be in its early stages of development.** While the first wave of adoption has been driven primarily by generative AI models, the next phase could be powered by broader capability expansion through agentic AI and physical AI. These technologies have the potential to extend AI adoption beyond content generation into autonomous workflows, enterprise automation, industrial applications, and robotics.

AI investment is also being supported by strategic considerations. Governments, hyperscalers, and enterprises face strong incentives to build AI capabilities. Competitive dynamics and geopolitical rivalry could therefore sustain AI-related capital expenditure, even if near-term monetisation remains uncertain.

Cyclical caution, however, remains warranted. Monetisation is the biggest uncertainty facing the AI cycle. The key unanswered question is whether future demand will be sufficient to justify the current pace of investment. While leading AI developers such as OpenAI and Anthropic remain private, major technology companies including Microsoft and Alphabet (Google) do not separately disclose AI-related revenue. As a result, investors still lack visibility into a fundamental question: how many enterprises and consumers are willing to pay for AI services, and whether such demand can ultimately support current investment levels. If commercialisation progresses more slowly than expected, excess capacity and capital misallocation could become significant risks.

The AI investment cycle is also becoming increasingly dependent on external financing. Companies are relying increasingly on debt markets and structured financing to fund large-scale infrastructure expansion, while equity valuations have become more stretched. Tighter liquidity conditions and more restrictive financial conditions could create a negative feedback loop by slowing investment and increasing financial stress among highly leveraged participants. The IMF has highlighted neocloud providers as particularly vulnerable due to elevated leverage and weaker balance-sheet resilience (here).

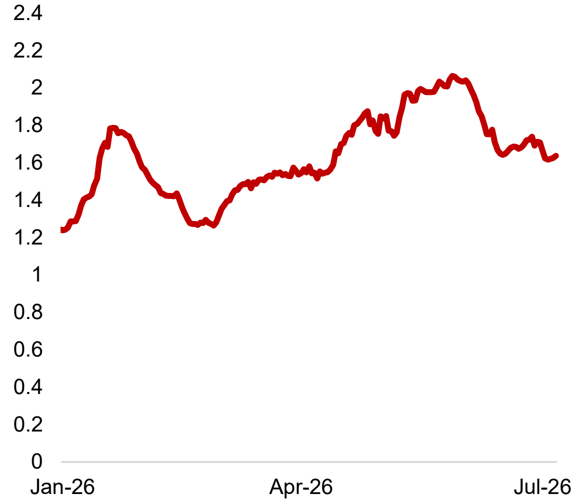
Physical constraints may also become increasingly binding. The AI expansion cycle faces real-world bottlenecks, including electricity availability, land supply, and infrastructure capacity. Rapid growth in data-centre electricity demand is placing increasing pressure on power systems, while concerns over grid stability, environmental impacts, and AI-related labour displacement are gradually moving from public debate into policy discussions. This could increase regulatory uncertainty surrounding future data-centre expansion and potentially constrain the pace of AI infrastructure investment.

We monitor the AI cycle across three layers: AI token usage, hyperscaler capital expenditure, and semiconductor demand and supply. These indicators suggest that the momentum of the AI super-cycle is approaching a peak.

AI token usage: The Silicon Data LLM Token Expenditure Index has declined by 20% from its peak at the end of May. One interpretation is that enterprises are becoming more cautious, reducing AI budgets and delaying deployment, which would imply slower demand growth ahead. A more constructive interpretation is that companies are improving AI efficiency. The shift toward lower-cost models, open-source alternatives, and declining cost per token could allow overall AI utilisation to continue expanding even as measured token expenditure declines.

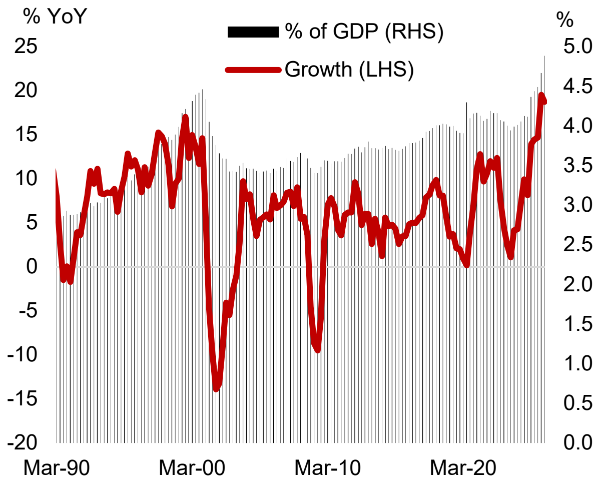
Hyperscaler capital expenditure: US private investment in information-processing equipment and software remains on a strong expansion path, with growth approaching 20% yoy in 1Q26. As a share of US GDP, investment has risen to around 5%, surpassing the peak levels reached during the late-1990s technology boom.

Silicon Data LLM token expenditure index



Sources: Bloomberg, DBS

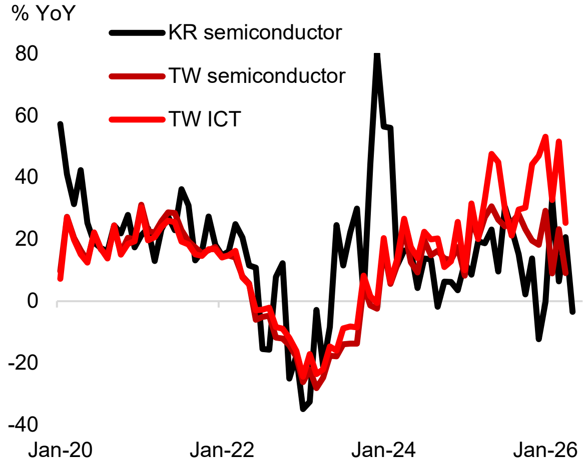
US: Private fixed investment - Information processing eqpt & software



Sources: CEIC, DBS

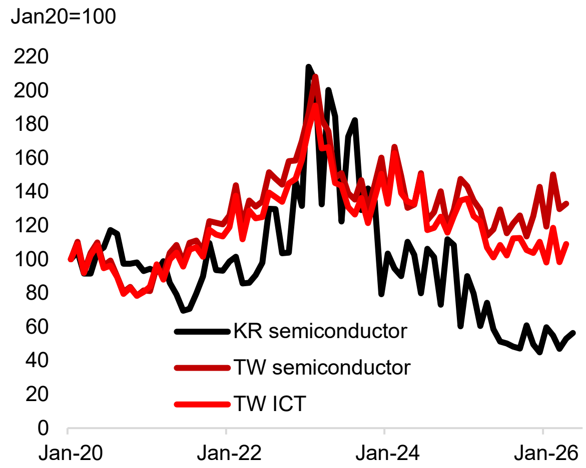
Semiconductors: Global semiconductor sales have continued to accelerate, reaching approximately 100% yoy growth in April and exceeding the peak growth rates observed during the 1990s semiconductor cycle. However, after adjusting for price effects, semiconductor shipments from South Korea and Taiwan have shown early signs of moderation, suggesting that underlying volume growth may be slowing. Inventory conditions remain relatively healthy. Taiwan's ICT inventory-to-sales ratio remains close to historical averages, while semiconductor inventory ratio in South Korea continues to decline. These trends suggest that the industry has not yet entered a broad-based inventory correction.

South Korea & Taiwan: Semiconductor/ICT shipments



Sources: CEIC, DBS

South Korea & Taiwan: Semiconductor/ICT inventory to shipment ratio

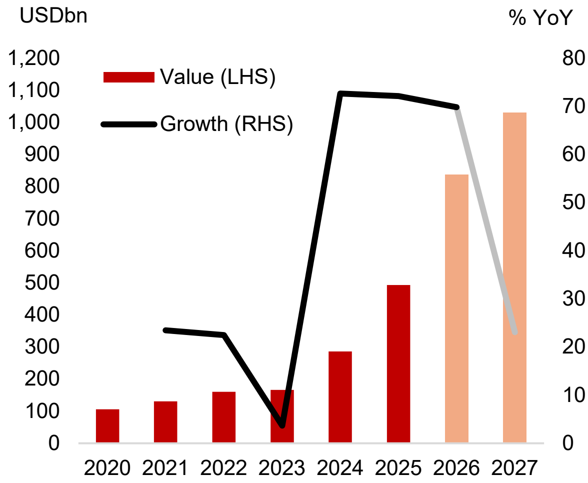


Sources: CEIC, DBS

Outlook: Global hyperscaler capital expenditure is expected to remain exceptionally strong in 2026 before gradually normalising in 2027. According to Bloomberg and TrendForce estimates, aggregate spending could reach approximately USD830 bn in 2026, representing a third consecutive year of around 70% yoy growth. Spending is expected to exceed USD1 tn in 2027, while growth momentum is projected to moderate to around 23%.

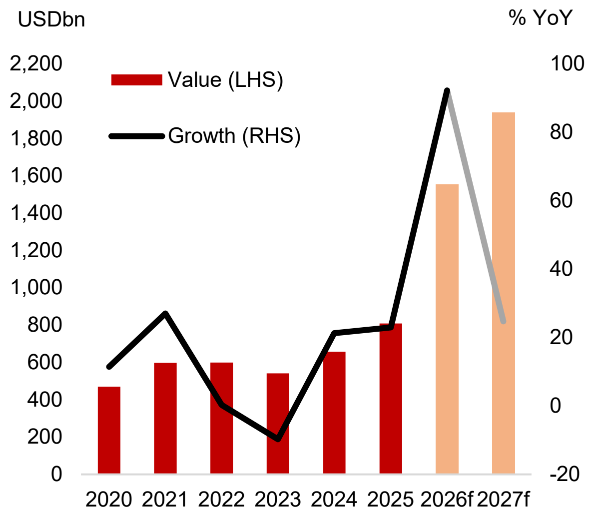
The global semiconductor market is expected to follow a similar cyclical pattern. WSTS forecasts global semiconductor sales to reach approximately USD1.5 tn in 2026, representing around 90% yoy growth, before increasing toward USD1.9 tn in 2027 as growth moderates to approximately 27%. Gartner's projections broadly support a similar trajectory, pointing to continued expansion but a transition toward a more mature phase of the cycle.

Global hyperscaler capex



Sources: Bloomberg, DBS

Global semiconductor market



Sources: Gartner, DBS

Taiwan 2H Outlook

Taiwan entered 2026 with exceptionally strong economic momentum. Growth in 1H26 remained robust as the AI super-cycle continued to support exports, investment, and corporate activity. Inflation rose only modestly, with energy-related pressures largely contained by government subsidies.

Looking ahead to 2H26, we expect Taiwan to maintain above-trend growth through 3Q26 before activity begins to normalize from 4Q26 onward. Inflation is likely to remain sticky, reflecting delayed cost pass-through and improving domestic demand.

We maintain our 2026 GDP growth forecast at 9.4% and adjust our 2027 forecast to 4.5% from 3.5%. On a quarterly basis, GDP growth is expected to remain around 10% yoy in 3Q26 before moderating to a more sustainable pace of around 4% yoy from 4Q26 onward.

Exports have approached a cyclical peak. Real export growth moderated in 2Q26, although nominal exports remained exceptionally strong due to elevated semiconductor prices. US-bound exports, which are closely linked to AI demand, have shown clear signs of cooling, while stronger shipments to ASEAN economies have provided a partial offset. ICT exports are also beginning to normalize, whereas traditional manufacturing exports have improved modestly.

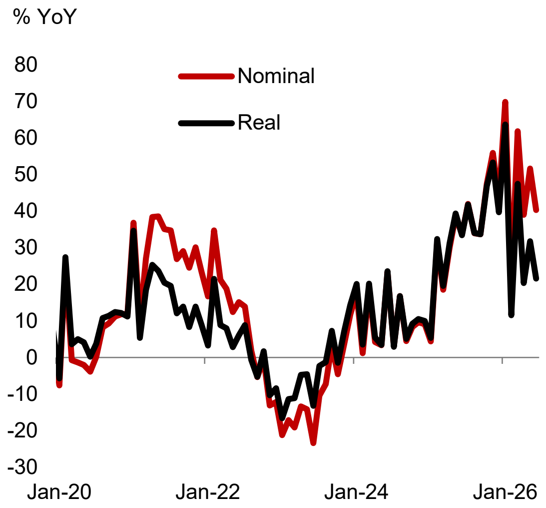
Investment has also approached a cyclical peak. Machinery investment, as measured by capital goods import growth, moderated in 2Q26, suggesting that firms expanded advanced foundry and advanced packaging capacity at a more measured pace. Meanwhile, construction-related investment indicators—including building permits and construction lending—remain weak and are unlikely to recover meaningfully in the near term, as the residential property market continues to consolidate under the central bank's credit controls.

Consumption has room to recover. Household spending on goods and services improved in 2Q26, as reflected in retail sales and food and beverage sales. A steady labour market, a stabilizing housing market, and accumulated equity-price gains should continue to support household spending through income and wealth effects.

Taiwan: GDP growth

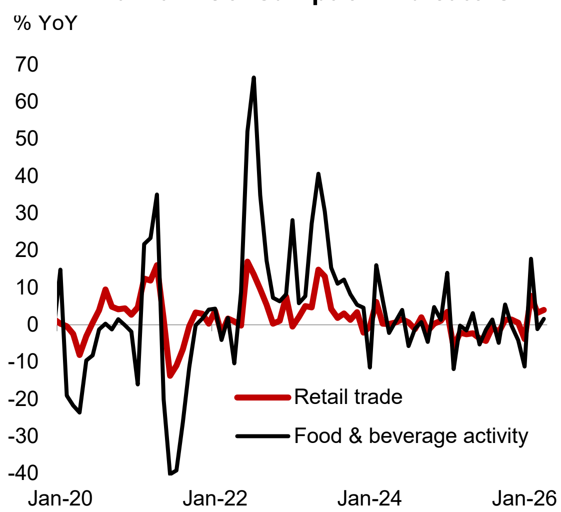
Sources: CEIC, DBS

Taiwan: Export growth



Sources: CEIC, DBS

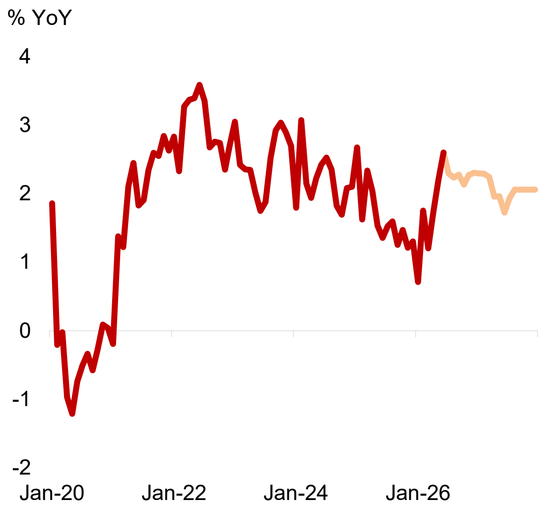
Taiwan: Consumption indicators



Sources: CEIC, DBS

We revise up our 2026–2027 CPI inflation forecasts to 2.0% and 2.1%, respectively, from 1.9% and 1.8%. Inflation is expected to remain close to 2% through 2H26 and into 2027. Energy-related inflation stemming from Middle East tensions should persist, with delayed cost pass-through keeping consumer prices elevated in the coming months. Extreme weather conditions associated with El Niño are expected to contribute to heightened food price volatility in 2H26. Over the medium term, tight labour-market conditions, asset-price gains, and a recovery in domestic demand should gradually lift inflation expectations and contribute to firmer inflation in 2027.

Taiwan: CPI inflation



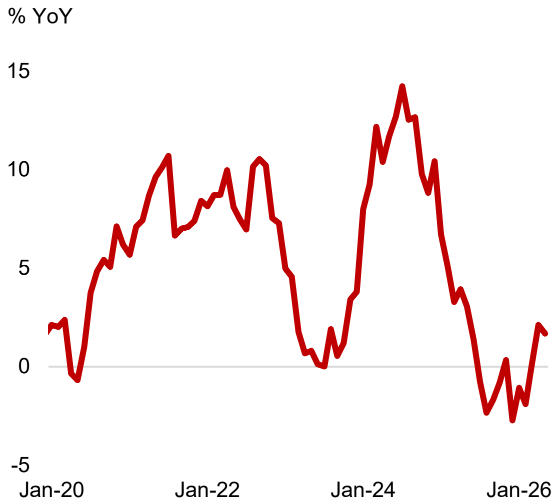
Sources: CEIC, DBS

The labour market should remain steady. The unemployment rate remained around 3.3% in 2Q26, while regular wage growth held at 2.5%–3.0% yoy. Strong economic growth should continue to support employment and wages, but the overall impact is likely to remain moderate given that ICT manufacturing accounts for less than 10% of total employment. Unlike South Korea, where semiconductor companies distribute sizeable employee bonuses, Taiwanese firms retain a larger share of earnings to finance future investment.

The property market is expected to continue consolidating through 2H26. Housing transactions and prices improved modestly in 2Q26. The government's new subsidy programme for first-time homebuyers, scheduled to begin in August, should provide some support to housing demand. Nevertheless, the central bank is expected to maintain existing loan-to-value restrictions—including a 60% cap for second homes and a 30% cap for third homes and high-value properties—amid lingering concerns over housing affordability and the concentration of real estate lending.

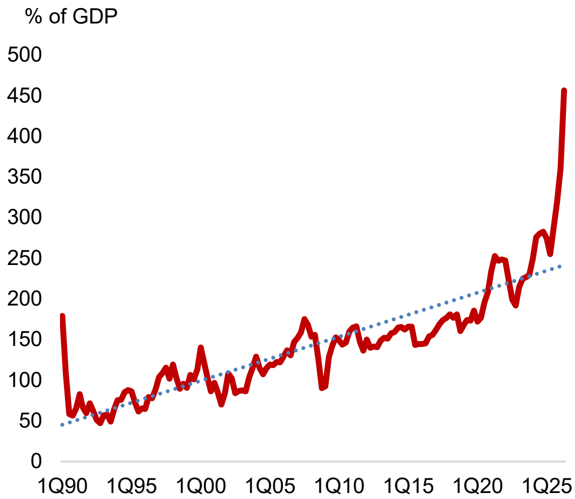
The equity market is increasingly exposed to overheating risks. Taiwan's stock market capitalization exceeded USD5tn in late May, making it the world's fifth-largest equity market. Market capitalization now exceeds 450% of nominal GDP, while average price-to-earnings ratios have risen to around 30x. Retail investor participation and leverage have also increased significantly. Monthly new trading account openings exceeded 100,000 during the first half of 2026, while margin financing balance surpassed TWD700 bn in May, roughly 60% above December 2025 levels. These conditions increase the market's sensitivity to shifts in investor sentiment and liquidity conditions.

Taipei: Sinyi residential property prices



Sources: CEIC, DBS

TWSE market cap

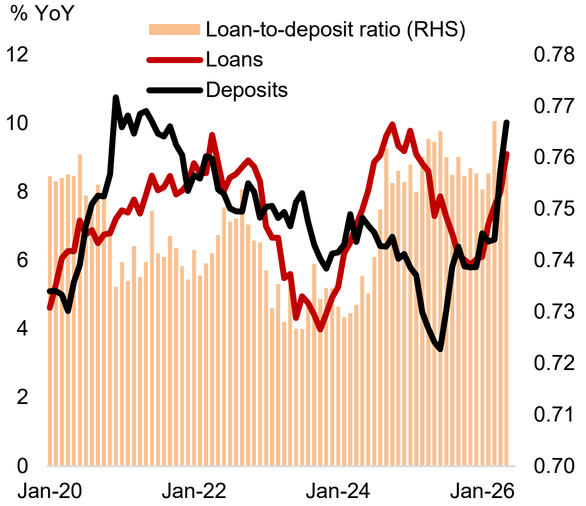


Sources: CEIC, DBS

The credit cycle still has room to strengthen. Historically, loan growth tends to lag GDP growth by two to three quarters. Bank lending accelerated to around 9% yoy in May. Corporate lending remains robust, driven by ICT firms financing AI-related investment and securities firms expanding margin financing amid buoyant equity-market activity. Consumer lending is expected to remain relatively stable, as housing mortgage growth continues to be constrained by macroprudential measures.

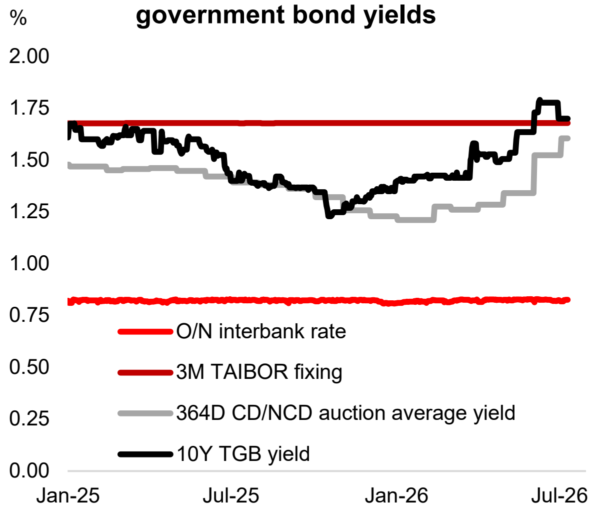
Monetary policy is expected to shift toward modest tightening. Financial conditions have already tightened through market channels, with robust loan growth and buoyant equity markets contributing to higher money market rates and government bond yields. Policymakers are likely to monitor inflation and inflation expectations closely when assessing the appropriate monetary policy stance. In addition to maintaining existing macroprudential measures on housing lending, policymakers could introduce measures aimed at containing leverage in equity markets.

Taiwan: Bank loans and deposits



Sources: CEIC, DBS

Taiwan: Money market rates and government bond yields



Sources: Bloomberg, DBS

DBS

Group Research

Economics & Strategy

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Asean/EU/South Asia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan CHUI
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if they are falls within 'financial instruments' that are within the scope of Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.

DBS

The Week Ahead

Forecasts, data preview, central bank watch

July 10, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- The Bank of Korea is expected to raise the base rate to 2.75% from 2.50%.
- China's GDP growth is expected to decelerate from 5.0% yoy in Q1 to 4.8% in Q2.
- Singapore's GDP growth should have remained resilient at 5.8% yoy in 2Q26, compared with 6.0% yoy in 1Q26.

Radhika Rao,
Senior Economist
radhikarao@dbs.com

Mo JI, Ph.D.,
Chief China/HK Economist
mojim@dbs.com

The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Jul 13 (Mon)		
India: CPI (Jun)	4.1% y/y	3.9% y/y
India: exports (Jun)	25% y/y	18.0% y/y
- imports	34% y/y	20.6% y/y
- trade balance	-USD28.5bn	-USD28.2bn
Jul 14 (Tue)		
US: CPI (Jun)	4.0% y/y	4.2% y/y
China: exports (Jun)	20.9% y/y	19.4% y/y
- imports	27.3% y/y	27.4% y/y
- trade blance	USD123.9bn	USD105.4bn
Singapore: GDP (2Q, A)	5.8% y/y	6.0% y/y
Jul 15 (Wed)		
China: GDP (2Q)	4.8% y/y	5.0% y/y
China: retail sales (Jun)	0.4% y/y	-0.6% y/y
- industrial production	4.6% y/y	4.5% y/y
- Fixed asset investment	-4.6% y/y	-4.1% y/y
July 16 (Thu)		
South Korea: BOK base rate	2.75%	2.50%
July 17 (Fri)		
Eurozone: CPI (Jun - Final)	2.8% y/y	2.8% y/y
Malaysia: GDP (2Q, A)	5.7% y/y	5.4% y/y
Malaysia: CPI (Jun)	2.0% y/y	2.0% y/y
Singapore: non-oil domestic exports (Jun)	25.0% y/y	38.4% y/y

CENTRAL BANK MEETINGS

Bank of Korea (16 Jul)

The Bank of Korea is expected to raise the base rate to 2.75% from 2.50% in July. The BOK signaled in June that it remains prepared to tighten monetary policy despite the recent decline in oil prices following the easing of tensions in the Middle East. CPI inflation has remained above 3% yoy for two consecutive months through June, and is expected to stay around this level for the remainder of the year, supported by lingering cost pass-through, elevated inflation expectations, and second-round effects.On the growth front, the economy continues to hold up well, driven primarily by robust exports and investment amid the AI boom. Meanwhile, the persistent weakness of the KRW, against the backdrop of portfolio capital outflows, provides an additional rationale for a rate hike.

FORTHCOMING DATA RELEASES

China

Economic growth is expected to decelerate from 5.0% yoy in Q1 to 4.8% in Q2, amid uneven domestic momentum. Industrial production is expected to improve from 4.5% in April to 4.6% in June, amid resilient external demand. Exports growth should have maintained its momentum with growth of 20.4% in June, driven by regional AI-electronic demand. The hi-tech manufacturing and equipment manufacturing sub-PMI have both improved further to 53.5 and 52.5 during the period. However, retail sales growth is projected to moderate to 0.5% in June 2026, partly due to a high base effect from last year's trade-in subsidy programs. Household sentiment remains weak amid uncertain job prospects, slower income growth, and elevated precautionary savings. Meanwhile, declining property prices continue to weigh on household wealth, suggesting consumption is likely to stay subdued in the near term. On the investment side, fixed asset investment is expected to decline further by 4.6% yoy ytd in June. Corporates investment stays cautious amid ongoing anti-involution campaign. Contraction in real estate investment will remain as a major drag.

India

June CPI inflation is expected to rise marginally to 4.1% yoy from 3.9% the month before, on continued normalisation in food segments and passthrough of fuel costs through the related segments. Beyond food and fuel, upside risks to core inflation appear limited, amid softer gold as well as precious metal prices and little scope for further pump price adjustments. Markets are also focused on the spatial and geographical spread of ongoing southwest monsoon. Encouragingly, the nationwide rainfall shortfall has narrowed considerably into July to -15% (as of 8 July), from over 40% gap in end-June, with key crop-producing belts of central and northwest India witnessing improvements. This should be supportive of total sowing activity which was 23% below (as of 26 June) the same time last year, led by a 25% and 30% shortfall in rice and pulses respectively, during the period. June trade data are unlikely to fully capture the impact of the mid-month correction in oil prices, with the trade deficit expected to remain elevated at around $28.5bn.

Singapore

We expect Singapore’s advance GDP growth estimate for 2Q26 to register 5.8% yoy, 1.5% qoq sa, remaining resilient compared with 6.0% yoy, 1.0% qoq sa in 1Q26. Expansion in trade-related sectors likely remained supportive. Manufacturing accelerated, while wholesale trade performed well despite some moderation, driven by robust global demand for artificial intelligence (AI)-related electronics. However, water transport weakened amid supply chain disruptions and high energy prices due to the Middle East conflict. Modern services remained resilient, supported by continued momentum in the financial sector, as securities trading activity and credit growth picked up. The ongoing construction boom also underpinned domestic resilience.

We see Singapore's non-oil domestic exports (NODX) growing at a double-digit rate for the fourth consecutive month, albeit at 25.0% yoy in June, compared with 38.4% yoy in May. Electronics domestic shipments remained well supported by robust global AI-related demand, particularly for memory chips and server-related products. However, non-electronics exports slowed amid unfavourable base effects.

Malaysia

We expect Malaysia's advance GDP estimate for 2Q26 to come in at 5.7% yoy, rising from 5.4% yoy in 1Q26. Overall growth was likely underpinned by stronger expansion in export-oriented manufacturing, with robust demand for global AI-related products lifting electrical & electronics shipments. The mining sector provided additional support, driven by strong natural gas production. Domestic demand remained resilient, with growth in services and construction sustained by continued household spending and ongoing investment realisation.

We anticipate Malaysia's headline inflation to hold relatively stable at 2.0% yoy in June. Price pressures likely remained contained, as fuel subsidies continued to limit the pass-through of energy costs to consumer prices at a time when global oil prices eased amid a decline in geopolitical risk premium as US-Iran tensions de-escalated.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	4.7	4.2	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	2.6	2.0	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	3.5	2.2	1.7	1.9	1.8
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	2.75	3.00	3.00	3.00	3.00	3.00
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1470	1485	1500	1515	1530	1545
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

DBS
Group Research

ECONOMICS & STRATEGY

Taimur BAIG, Ph.D.
Chief Economist
Global
taimurbaig@dbs.com

Mo JI, Ph.D.
Chief Economist
China/HK SAR
mojim@dbs.com

Nathan CHOW
Senior Economist
China/HK SAR
nathanchow@dbs.com

Radhika RAO
Senior Economist
Eurozone, India, Indonesia
radhikarao@dbs.com

Tieying MA, CFA
Senior Economist
North Asia
matieying@dbs.com

Han Teng CHUA, CFA
Senior Economist
Asean
hantengchua@dbs.com

Byron LAM
Economist
China/HK SAR
byronlamfc@dbs.com

Eugene LEOW
Senior Rates Strategist
G3 & Asia
eugeneleow@dbs.com

Philip WEE
Senior FX Strategist
Global
philipwee@dbs.com

Wei Liang CHANG
FX & Credit Strategist
Global
weiliangchang@dbs.com

Samuel TSE
Rates Strategist
Asia
samueltse@dbs.com

Sherilyn CHEW
Multi-asset Strategist
Global
sherilynchew@dbs.com

Mervyn TEO
Senior Credit Analyst
USD, SGD, AUD
mervynteo@dbs.com

Dexter CHUN
Credit Analyst
USD
dexterchun@dbs.com

Tracy Li Jun LIM
Credit Analyst
USD, SGD
tracylimt@dbs.com

Ian Haan Chui
Credit Analyst
USD
ianchui@dbs.com

Amanda SEAH
Credit Analyst
USD, SGD, AUD
amandaseah@dbs.com

Teng Chong LIM
Credit Analyst
USD, SGD, AUD
tengchonglim@dbs.com

Joel SIEW, CFA
Credit Analyst
USD, SGD, AUD
joelsiew@dbs.com

Iris GAO
Credit Analyst
USD
irisgao@dbs.com

Lilian LV
Credit Analyst
USD
lilianlv@dbs.com

Daisy SHARMA
Analyst
Data Analytics
daisy@dbs.com

Violet LEE
Associate
Publications
violetleeyh@dbs.com

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates, Digital Assets or Commodities)[1]

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

[1] This disclaimer may not apply if the applicable assets fall within the definition of 'financial instruments' that are set out in Article 2(1) EU MAR (e.g. financial instruments that are traded on a regulated market, MTF or OTF, etc.). Section C of Annex I of MiFID2 specifies these 'financial instruments'.